

POWER

KOTESHWAR HYDRO ELECTRIC PROJECT

Location: Uttarakhand
Date of approval: April 2000
Delay: **68 months**

TUIRIAL HYDRO ELECTRIC POWER PROJECT

Location: Mizoram
Date of approval: July 1998
Delay: **44 months**

KAIGA TRANSMISSION SYSTEM

Location: Uttarakhand
Date of approval: March 2005
Delay: **27 months**

PARBATI HYDRO ELECTRIC PROJECT (STAGE II)

Location: Himachal Pradesh
Date of approval: Sep 2003
Delay: **55 months**

LOWER SUBANSIRI HYDRO ELECTRIC PROJECT

Location: Arunachal Pradesh
Date of approval: Sep 2003
Delay: **38 months**

The Speedbreakers

- Acquisition of land
- Environmental clearances
- Multiple ministries
- Shoddy project management
- Vexatious litigation

The scenario in the ports sector is no better. The delay in these projects with approvals dating back to 1998 is in the range of 29-94 months. Gujarat's Kandla Port Trust has suffered a delay of eight years in creating additional facilities for handling crude oil simply because of environmental clearance. If land and clearances set back road and power projects, shoddy project management plays havoc with railway projects. According to MOSPI, the most serious problem in railways is the sanction of a large number of projects without completing essential pre-project activities like survey, detailed cost estimates and financial tie-ups. Often projects are included in the Railway Budget without proper appraisal. This results in a large number of projects remaining non-starters. Agrees Vinayak Chatterjee, chairman of CI's

infrastructure committee, "India, by and large, has policy framework in place, but there is a lack of project management capabilities."

It is not that solutions are hard to find. Almost every government has fashioned its own version of speedy clearances—from setting up of a viability gap funding to creating the India Infrastructure Finance Company Limited (IIFCL) for facilitating long-term loans to allowing IIFCL to raise Rs 10,000 crore to refinance bank lending for infrastructure. But now that lending conditions have become more conducive for picking up projects from the shelf, finances have dried up under the effect of the ongoing downturn, spike in interest rates and cost of borrowing. "A big worry behind slow implementation in road and highway projects is availability of finance," says Montek Singh Ahluwalia, deputy chairman, Planning Commission. Investors are not actively putting in money in road projects, confirms Brahm Dutt, secretary, Surface Transport. "The period September 2008 to April 2009 saw a drastic cut in investment, slowing down offtake of projects. The irony now is that India can roll out projects, but will there be investors?" wonders Dutt.

There are no answers yet, but alarm bells over 9 per cent growth becoming a remote affair have started ringing afresh. The Planning Commission is set to look into involvement of multiple ministries while keeping an open eye on the funding of infrastructure by pension funds. Union Minister of Shipping G.K. Vasan says, "To attract and encourage private sector investment in the port sector, we have finalised a model request for qualification, request for proposal and model concession agreement to ensure uniformity and transparency in the bid process." A single window clearance system for port projects, says Assocham, would ensure substantial reduction in their gestation period. The dividends are clearly manifold. It is now for politicians to seize the initiative. It is both an imperative and an opportunity. ■

